# Rio Tinto Ltd. (RIO.AX): 1H26 result: Simplification strategy accelerating; upgrade to Buy on valuation & compelling Cu Eq growth

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RIO reported 1H26 underlying EBITDA/NPAT of US$14.8bn/US$6.9bn (+28%/+43% YoY) vs. GSe US$14.9bn/US$6.2bn and Visible Alpha Consensus Data at US$15.1bn/US$6.6bn. Earnings beat on lower underlying tax rate of ~25% (vs. GSe 30%; guidance now lowered to 25%). At the divisional level EBITDA, copper (Bingham; better revenue on higher US copper premiums) and iron ore (Pilbara; unit costs) and aluminium (Primary metal costs) all beat, offset partly by higher than expected project evaluation costs & other operations (higher provisions due to inflation).

Net debt of US$14.1bn was well below our US$14.8bn estimate on higher than expected OCF and lower capex. The interim dividend of US211cps (US$3.4bn) was above GSe at US190cps on the earnings beat, and was the typical 50% payout for the interim.

There was no change to 2026 production, with capex guidance of up to US$11bn for '26/27 and Pilbara unit cost guidance of US$23.5-25/t. However, cost out targets (outlined at the investor day in late 2025 ("stronger, sharper, simpler" agenda)) have been increased from US$0.65bn (by end of 1Q26) to US$1.8bn by year-end. While some of this cost out is structural, a large proportion is related to productivity. The US$1.8bn represents ~5% of RIO's cost base, so this initiative should help offset wider inflationary pressures. The US$5-10bn of non-core divestments (we identify ~US$10bn) are progressing with opportunities to release around US$5bn by the end of 2026 being progressed, with Pilbara power possibly unlocking US$3-4bn (GSe) in 2H26. RIO has identified further cost out beyond the US$1.8bn run rate, some of which will be realised with divestments (borates, mineral sands).

On growth, impressively, all major 22 development projects are on or ahead of time (Simandou, Pilbara replacement, Argentina lithium, Oyu Tolgoi underground ramp-up). Studies and drilling on longer dated copper options are progressing; Resolution, La Granja, Winu, Bingham pit extension, Nuevo Cobre and La Comita. Project evaluation/studies increased to US$1bn in 1H, up from US$0.45bn PcP, so while costs are being reduced elsewhere in the portfolio, RIO continues to invest in advancing its growth pipeline. The company continues to be a leader in project execution.

### Key takeaways

- **Divisional performance:** At the divisional level EBITDA (see Exhibit 4), copper

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(Bingham; revenue), iron ore (Pilbara; unit costs) and aluminium (Primary metals; costs) all beat, offset partly by higher than expected project evaluation costs & other operations (including marketing, shipping etc) which included non-cash increases on rehab provisions related to inflation.

- **Cash flow and balance sheet:** net cash flow from operations of US$9.2bn and net debt of US$14.1bn compared to our US$8.8bn and US$14.8bn estimates respectively. Capex for 1H26 was US$5.0bn (when including spend on Simandou MineCo and excluding Equity Accounted Units/EAUs) vs. our US$5.6bn est, for RIO's 2026 guidance of US$11bn (plying a step-up to a max of US$6bn in 2H), due to timing of spend on the Simandou, and the Pilbara replacement projects.
- **Guidance/cost out/asset sales:** there was no change to 2026 production, ~US$11bn capex guidance for 2026&27 (and rehab cash spend of ~US$1bn) and Pilbara unit cost guidance of US$23.5-25/t.
  - However, productivity/cost out targets (outlined at the investor day in late 2025 ("stronger, sharper, simpler" agenda)) have been increased by US$1.2bn to US$1.8bn (from US$650mn) with US$1.3bn annualised run rate achieved in 1H, with US$0.87bn banked year-to-date. Of this, US$0.34bn is volumes and US$0.5bn cash cost related (see Exhibit 6). Management stated that the additional ~US$1bn to be delivered in 2H will come roughly evenly from volumes and costs, and they have real momentum month on month. The US$1.8bn represents ~5% of group underlying costs (~US$37bn p.a). We have built in some additional costs across divisions and already factor in most of the benefits in our view. Overall, RIO is switching from a centralized model to a leaner decentralized operating model and pushing more decision-making back to the mine sites.
  - The US$5-10bn of non-core divestments (we identify ~US$10bn) are progressing with opportunities to release around US$5bn by the end of 2026 being progressed.
  - The tax rate for 2026 is now expected to be ~25% (down from prior guidance of ~30%), and compares to 31.5% in 2025, but is expected to increase back to ~30% from 2027.
- **Growth projects (of interest)**
  - **Resolution copper:** RIO commenced surface drilling in newly accessible areas following the land exchange, with underground drilling scheduled to commence in 3Q26 (in-line with the schedule in our recent deep dive report on the project) to support further resource definition and geological data collection.
  - **Oyu Tolgoi:** RIO recently announced a change to the underground mine plan at OT as a result of a delay in the Mongolian government's approval of the license transfer from Entrée Resources to Oyu Tolgoi LLC, which we believe could see a possible ~50k impact to Cu & Au production in 27&28. The Government of Mongolia recently agreed to commence work on resolution of the Entrée licence transfer for Panel 1, but RIO continue to advance the lower grade Panels 0 and 2 North followed by Panel 2 South. Panel 1 is expected to

be the final panel brought into production.

- **Brazil Aluminium acquisition:** RIO recently entered into a definitive agreement to acquire Votorantim's controlling ~69% shareholding in major Brazilian aluminium producer Companhia Brasileira de Alumínio (CBA), through a JV with RIO's major shareholder Chalco (67% Chalco / 33% RIO) for ~US$903mn (~US$298mn RIO's share). Following closing, the JV will launch a mandatory tender offer for the remaining ~31% of shares in CBA, as required by Brazilian law. We believe this puts focus on RIO's broader Atlantic portfolio and strategy, noting that RIO is long 3.3Mtpa of alumina production in the Pacific Basin, but is short 2.6Mt of alumina in the Atlantic Basin.

**EBITDA/NAV changes and Investment thesis, upgrade to Buy (from Neutral)**
We adjust our 2027/28 EBITDA by +2%/+1% after decreasing our Primary Aluminium and Pilbara iron ore costs, and increasing Bingham copper revenue. Our NAV is up 2% to ~A$199/sh with these changes and on the lower net debt. Overall, our 12-month price target has increased by 2% to A$181.9/sh (from A$178.9/sh).

The RIO.AX share price has retraced ~15% from the highs seen in June when valuation peaked at ~8.5-9x EBITDA, and is now back into value territory in our view trading at ~0.8xNAV and ~7x EBITDA, around the 25-yr historical average of 6.5-7x. **We upgrade RIO.AX to Buy (from Neutral)** based on:

1. **Attractive valuation and FCF:** RIO is trading at ~0.8x NAV (~A$199/sh) vs. peers (BHP ~0.9x NAV and FMG ~1.1x NAV), and RIO.AX is trading at ~7x NTM EBITDA, in-line with BHP.AX on ~7x, and the 25-yr historical average of 6.5-7x, but still below pure play base metal companies. Additionally, FCF/dividend looks attractive at ~5% in 2026E (~6% at spot), driven by our positive view on aluminium and bullish view on copper (~45-50% of group EBITDA in 2026E, and ~60% by 2030E).
2. **Compelling medium term Cu Eq and EBITDA growth:**
   - RIO maintains sector leading production and EBITDA growth, and we forecast RIO's Cu Eq production to grow by ~10% and EBITDA by ~30% from 2025 to 2030, driven mostly by the ramp-up of the Oyu Tolgoi UG copper mine, higher grades at Bingham Canyon copper from 2027, the ramp-up of the Simandou iron ore mine in Guinea, higher Pilbara Fe shipments & FCF/t (medium-term shipments guidance of 345-360Mtpa by 2028 vs. GSe ~340Mtpa) with the ramp-up of new mines (such as Rhodes Ridge), expanding aluminium margins, and lithium growth in Argentina.
   - The company also has attractive longer dated growth copper growth projects including Resolution & La Granja copper and lithium options in Chile. We forecast Cu Eq production growth of just ~1% p.a. in 2026, but an average of 3% p.a. from 2027-2030.
3. **Simplification strategy to lower costs and assist de-leveraging:** The company's compelling strategy remains unchanged, anchored on the 'stronger, sharper, simpler' agenda presented at the recent capital markets day, which includes US$5-10bn (vs GSe ~US$10bn) of non-core divestments and cost out.

## Exhibit 1: RIO operating and financial summary

| Commodity and FX assumptions | | 2024 | 2025 | 2026E | 2027E | 2028E | 2029E | 2030E |
|---|---|---|---|---|---|---|---|---|
| **AUD:USD** | **x** | **0.66** | **0.64** | **0.69** | **0.68** | **0.69** | **0.69** | **0.70** |
| **CAD:USD** | **x** | **0.73** | **0.72** | **0.72** | **0.72** | **0.73** | **0.75** | **0.76** |
| **Iron ore fines (CFR, 62% Fe)** | **US$/t** | **110** | **102** | **101** | **96** | **97** | **98** | **99** |
| Iron ore lump (CFR, 63.5% Fe) | US$/t | 120 | 109 | 108 | 107 | 109 | 110 | 112 |
| Bauxite | US$/t | 64 | 79 | 67 | 70 | 70 | 70 | 70 |
| Alumina | US$/t | 502 | 386 | 318 | 355 | 370 | 380 | 406 |
| **Aluminium** | **USc/lb** | **110** | **119** | **145** | **122** | **129** | **136** | **142** |
| **Copper** | **USc/lb** | **415** | **451** | **606** | **626** | **621** | **612** | **605** |
| **Lithium carbonate** | **US$/t** | **11,167** | **9,319** | **21,022** | **16,875** | **15,375** | **16,762** | **18,548** |
| **Operating assumptions** | | | | | | | | |
| **Production** | | | | | | | | |
| Iron ore - Pilbara Prod (RIO share) | Mt | 278 | 280 | 284 | 289 | 292 | 291 | 287 |
| **Iron ore - Pilbara Sales (RIO share)** | **Mt** | **277** | **279** | **281** | **289** | **292** | **291** | **287** |
| Iron ore - Pilbara Prod (100%) | Mt | 328 | 327 | 333 | 337 | 342 | 341 | 343 |
| **Iron ore - Pilbara Sales (100%)** | **Mt** | **329** | **326** | **330** | **337** | **342** | **341** | **343** |
| Guidance | Mt | | | 323-338 | | Med term ~345-360 | | |
| **IOC Canada** | **Mt** | **9.4** | **9.3** | **8.7** | **9.3** | **9.4** | **9.4** | **9.4** |
| Guidance | | | | 8.9-10.6 | | | | |
| **Simandou Prod (RIO share)** | **Mt** | | **1** | **4** | **13** | **22** | **27** | **27** |
| **Simandou Prod (100%)** | **Mt** | | **2** | **8** | **29** | **48** | **60** | **60** |
| **Simandou Sales (100%)** | | | **0** | **6** | **28** | **48** | **60** | **60** |
| **Copper - Mined (consolidated)** | **kt** | **697** | **883** | **864** | **895** | **989** | **1,024** | **1,016** |
| Guidance | | | | 800-870 | | | | |
| **Copper - Mined (equity)** | **kt** | **624** | **766** | **726** | **748** | **813** | **832** | **826** |
| **Copper - Refined (consolidated)** | **kt** | **248** | **190** | **171** | **222** | **239** | **239** | **241** |
| Guidance | | | | | | | | |
| **Gold (mined)** | **koz** | **352** | **619** | **633** | **414** | **447** | **478** | **516** |
| **Bauxite** | **Mt** | **59** | **62** | **60** | **61** | **62** | **61** | **62** |
| Guidance | | | | 58-61 | | | | |
| **Alumina** | **Mt** | **7.3** | **7.6** | **8.0** | **7.0** | **7.1** | **7.1** | **7.1** |
| Guidance | | | | 7.6-8.0 | | | | |
| **Aluminium (excludes recycling)** | **Mt** | **3.3** | **3.4** | **3.4** | **3.5** | **3.5** | **3.5** | **3.5** |
| Guidance | | | | 3.25-3.45 | | | | |
| **TiO2 slag** | **Mt** | **1.0** | **1.0** | **1.1** | **1.2** | **1.2** | **1.2** | **1.1** |
| Guidance | | | | | | | | |
| **Lithium carbonate (RIO share)** | **kt (LCE)** | | **56** | **61** | **88** | **120** | **150** | **172** |
| **Lithium carbonate (100%)** | **kt (LCE)** | | **70** | **76** | **98** | **131** | **162** | **184** |
| | | | | 61-64 | | | | |
| **CuEq Prod. (GS LR prices)** | **Mt** | **4.51** | **4.94** | **4.98** | **5.09** | **5.34** | **5.46** | **5.47** |
| **CuEq YoY %** | **%** | **2.9%** | **9.7%** | **0.8%** | **2.1%** | **5.1%** | **2.2%** | **0.2%** |
| **Unit Costs** | | | | | | | | |
| **Pilbara Cash Costs (FOB)** | **US$/t** | **23.0** | **23.5** | **24.3** | **23.8** | **23.8** | **24.8** | **24.1** |
| Guidance | | | | 23.5-25.0 | | Med term ~20 (real $) | | |
| **Aluminium** | **USc/lb** | **98** | **124** | **122** | **123** | **128** | **134** | **120** |
| Alumina | US$/t | 385 | 385 | 378 | 381 | 393 | 401 | 410 |
| Bauxite (FOB) | US$/t | 19 | 20 | 23 | 23 | 24 | 25 | 26 |
| **Copper** | **USc/lb** | **151** | **96** | **39** | **102** | **92** | **89** | **88** |
| Guidance | | | | 30-50 | | | | |
| **Financial summary** | **Units** | **2024** | **2025** | **2026E** | **2027E** | **2028E** | **2029E** | **2030E** |
| Revenue | US$bn | 53.7 | 57.6 | 61.0 | 59.7 | 63.7 | 66.4 | 66.7 |
| **Underlying EBITDA** | **US$bn** | **23.3** | **25.4** | **29.2** | **28.2** | **30.5** | **31.4** | **32.7** |
| Margin | % | 43% | 44% | 48% | 47% | 48% | 47% | 49% |
| **Underlying earnings** | **US$bn** | **10.9** | **10.9** | **13.0** | **11.9** | **12.8** | **13.1** | **14.1** |
| EPS | US$ps | 6.7 | 6.7 | 8.0 | 7.4 | 7.9 | 8.1 | 8.70 |
| EPS growth | % | (8%) | 0% | 20% | (8%) | 7% | 3% | 7% |
| DPS | US$ps | 4.0 | 4.0 | 4.8 | 4.5 | 4.8 | 4.9 | 5.2 |
| Payout ratio | % | 60% | 60% | 59% | 60% | 60% | 60% | 60% |
| **Dividend yield** | **%** | **4%** | **4%** | **5%** | **5%** | **5%** | **5%** | **5%** |
| **Cash flow** | | | | | | | | |
| Operating cash flow (OCF) | US$bn | 15.6 | 16.8 | 19.5 | 19.6 | 20.5 | 20.9 | 22.2 |
| Capex (incl. exploration) | US$bn | (9.6) | (12.3) | (11.7) | (10.5) | (9.8) | (10.7) | (11.3) |
| Acquisitions, divestments, other | US$bn | 0.0 | (7.0) | 0.5 | (0.2) | 0.2 | 0.4 | 0.7 |
| **FCF - excluding dividends** | **US$bn** | **6.0** | **-2.5** | **8.4** | **8.9** | **10.9** | **10.6** | **11.6** |
| **FCF yield** | **%** | **4%** | **(2%)** | **5%** | **6%** | **7%** | **7%** | **7%** |
| Dividends | US$bn | (7.0) | (6.1) | (7.6) | (7.2) | (7.5) | (7.8) | (8.2) |
| Buybacks and shares issued | US$bn | 1.6 | 1.6 | 0.0 | 0.0 | 0.0 | 0.0 | 0.0 |
| **FCF - before debt** | **US$bn** | **0.6** | **(7.0)** | **0.7** | **1.8** | **3.5** | **2.8** | **3.3** |
| **Balance sheet and Returns** | | | | | | | | |
| **Net Debt/(Cash)** | **US$bn** | **4.1** | **14.4** | **13.2** | **12.0** | **9.1** | **6.9** | **4.2** |
| Cash | US$bn | 8.5 | 8.9 | 9.6 | 10.3 | 13.2 | 14.9 | 17.1 |
| **Gearing (ND/E)** | **%** | **7%** | **18%** | **15%** | **13%** | **10%** | **7%** | **4%** |
| Leverage ratio (ND/EBITDA) | x | 0.2x | 0.6x | 0.5x | 0.4x | 0.3x | 0.2x | 0.1x |
| ROA | % | 11% | 8% | 9% | 8% | 8% | 8% | 8% |
| **ROCE** | **%** | **19%** | **17%** | **16%** | **14%** | **13%** | **13%** | **14%** |
| Total Shares O/S | mn | 1.62 | 1.62 | 1.62 | 1.62 | 1.62 | 1.62 | 1.62 |
| **Divisional EBITDA** | | | | | | | | |
| Iron ore | US$bn | 16.1 | 14.6 | 13.1 | 13.2 | 14.3 | 14.7 | 15.0 |
| Aluminium | US$bn | 3.7 | 4.4 | 5.6 | 3.8 | 4.2 | 4.3 | 4.9 |
| Copper | US$bn | 3.3 | 7.3 | 10.7 | 10.3 | 10.9 | 11.1 | 11.1 |
| Lithium | US$bn | 0.0 | 0.2 | 0.7 | 0.9 | 0.8 | 1.0 | 1.5 |
| Minerals | US$bn | 1.3 | 0.9 | 0.7 | 1.1 | 1.3 | 1.2 | 1.2 |
| Group and other | US$bn | (1.1) | (2.0) | (1.6) | (1.0) | (0.9) | (1.0) | (1.0) |
| **Total underlying EBITDA** | **US$bn** | **23.3** | **25.4** | **29.2** | **28.2** | **30.5** | **31.4** | **32.7** |
| **Divisional Capex (consolidated)** | | | | | | | | |
| Iron ore (incl Simandou) | US$bn | 4.8 | 6.3 | 6.0 | 5.6 | 5.1 | 5.2 | 5.5 |
| Aluminium | US$bn | 1.7 | 2.0 | 1.7 | 2.1 | 1.4 | 0.9 | 0.9 |
| Copper | US$bn | 2.1 | 1.9 | 1.4 | 1.1 | 1.3 | 2.7 | 3.4 |
| Lithium | US$bn | 0.0 | 1.4 | 1.1 | 1.1 | 1.3 | 1.3 | 0.9 |
| Minerals | US$bn | 0.8 | 0.7 | 0.7 | 0.6 | 0.6 | 0.6 | 0.5 |
| **Total Capex (excl. Exploration)** | **US$bn** | **9.5** | **12.3** | **10.8** | **10.4** | **9.8** | **10.6** | **11.3** |
| Guidance | | | | ~11 | ~11 | | up to ~10 (real 2025 $) | |
| **Sustaining** | **US$bn** | **3.9** | **4.9** | **5.0** | **4.5** | **4.8** | **4.6** | **4.5** |
| Guidance | | | | ~4 | | | | |
| **Growth** | **US$bn** | **5.6** | **7.4** | **5.9** | **5.9** | **5.0** | **6.0** | **6.7** |
| **RIO share of capex** | **US$bn** | **8.6** | **12.2** | **11.7** | **10.9** | **10.1** | **10.4** | **10.4** |

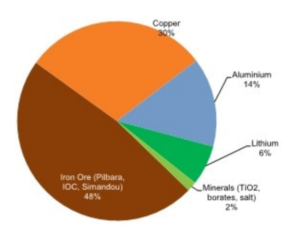
| RIO 12m PT | | US$/sh | A$/sh |
|---|---|---|---|
| NAV | | 139.6 | 199.4 |
| NTM EV/EBITDA | | 115.0 | 164.3 |
| Price Target (RIO.AX) | | | 181.9 |
| Current Share Price | | - | 165.4 |
| **Upside / (Downside)** | | **%** | **10%** |
| **GS Recommendation** | | | **BUY** |

| NAV Valuation | US$bn | US$/sh | A$/sh |
|---|---|---|---|
| Iron Ore (Pilbara, IOC, Simandou) | 126.5 | 77.9 | 111.3 |
| Copper | 78.7 | 48.5 | 69.3 |
| Aluminium | 38.4 | 23.7 | 33.8 |
| Lithium | 17.3 | 10.6 | 15.2 |
| Minerals (TiO2, borates, salt) | 4.2 | 2.6 | 3.7 |
| **Divisional Subtotal** | **265.0** | **163.3** | **233.3** |
| Corporate | (7.8) | (4.8) | (6.8) |
| Provisions & Rehab | (16.0) | (9.9) | (14.1) |
| Exploration (expense) | (5.6) | (3.5) | (5.0) |
| Exploration (success) | 5.0 | 3.1 | 4.4 |
| **Total Corporate** | **240.5** | **148.2** | **211.8** |
| Net (Debt)/Cash | (14.1) | (8.7) | (12.4) |
| RIO NAV (8.5%) | 226.5 | 139.6 | 199.4 |
| **P/NAV** | | | **0.83** |

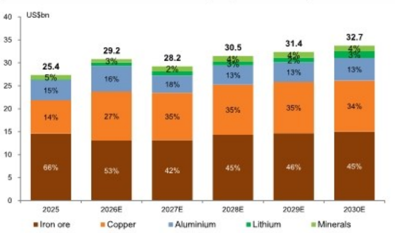
| RIO EV/EBITDA Scorecard | |
|---|---|
| **Median sector multiple** | **5.0x** |
| **Financial metrics** | |
| Gearing | Neutral |
| EPS growth | Positive |
| FCF growth | Positive |
| Capital management outlook | Positive |
| ROCE | Positive |
| **Operating metrics** | |
| Mine life | Positive |
| Cost/margin position | Positive |
| CuEq growth - 2yr outlook | Positive |
| Operating/sovereign risks | Neutral |
| Adjusted multiple | 7.0x |

| US$bn | 2026E | 2027E | NTM |
|---|---|---|---|
| NTM EBITDA split | 50% | 50% | |
| EBITDA | 29.2 | 28.2 | **28.7** |
| **Valuation** | **US$bn** | **US$/sh** | **A$/sh** |
| NTM EBITDA | 28.7 | | |
| EV/EBITDA | 7.0x | | |
| **Enterprise value** | **200.7** | **123.7** | **176.7** |
| Net (debt)/cash | (14.1) | | |
| Equity Value | 186.6 | 115.0 | 164.3 |

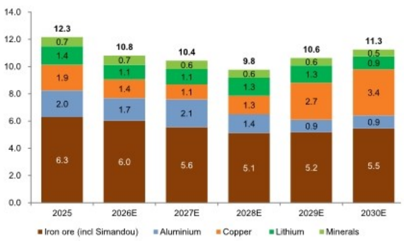
**RIO Divisional NAV Breakdown**




**Divisional EBITDA Spilt (US$bn and %)**




**Divisional Capex (US$bn)**




Source: Company data, Goldman Sachs Global Investment Research

### Exhibit 2: PT, NAV and earnings revisions

| | YE | Crncy | | Rating | Price Target A$/sh | NAV A$/sh | EBITDA ($bn) 2026 | EBITDA ($bn) 2027 | EBITDA ($bn) 2028 | EPS (cps) 2026 | EPS (cps) 2027 | EPS (cps) 2028 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **RIO** | Dec | USD | Previous | Neutral | 178.9 | 196.1 | 29.1 | 27.6 | 30.3 | 734 | 690 | 761 |
| | | | **Current** | **Buy** | **181.9** | **199.4** | **29.2** | **28.2** | **30.5** | **802** | **737** | **787** |
| | | | % Change | - | 2% | 2% | 0% | 2% | 1% | 9% | 7% | 3% |

Source: Company data, Goldman Sachs Global Investment Research

## Key 1H26 figures and takeaways

### Exhibit 3: RIO 1H26 financial performance vs. GSe and Visible Alpha Consensus Data

| | 1H 2025 | 2H 2025 | 1H 2026 | | | % Diff | | | |
|---|---|---|---|---|---|---|---|---|---|
| ***US$mn*** | **Act** | **Act** | **Act** | **GSe** | **VA Cons** | **HoH** | **PcP** | **GSe** | **Cons** |
| **Revenue (Gross)** | **29,370** | **33,509** | **34,291** | **33,399** | **33,439** | **2%** | **17%** | **3%** | **3%** |
| **Divisional EBITDA** | | | | | | | | | |
| Iron ore (incl. IOC) | 6,871 | 8,323 | 6,769 | 6,876 | 6,947 | (19%) | (1%) | (2%) | (3%) |
| Aluminium | 2,362 | 2,036 | 3,093 | 3,039 | 3,359 | 52% | 31% | 2% | (8%) |
| Copper | 3,105 | 4,264 | 5,713 | 5,388 | 5,231 | 34% | 84% | 6% | 9% |
| Lithium | 42 | 128 | 218 | 196 | 184 | 70% | 419% | 11% | 18% |
| Other operations (incl Simandou) | 160 | (206) | (278) | 63 | 97 | 35% | (274%) | (538%) | (388%) |
| Other Items (incl. G&A) | (764) | (734) | (579) | (550) | (474) | (21%) | (24%) | 5% | 22% |
| Exploration | (110) | (120) | (110) | (96) | (189) | (8%) | 0% | 15% | (42%) |
| **EBITDA (Underlying)** | **11,666** | **13,691** | **14,826** | **14,917** | **15,097** | **8%** | **27%** | **(1%)** | **(2%)** |
| **Underlying Earnings** | | | | | | | | | |
| Iron ore (incl. IOC) | 3,360 | 4,536 | 3,387 | 3,579 | 3,811 | (25%) | 1% | (5%) | (11%) |
| Aluminium | 1,107 | 779 | 1,576 | 1,526 | 1,690 | 102% | 42% | 3% | (7%) |
| Copper | 1,191 | 1,642 | 2,452 | 2,240 | 2,580 | 49% | 106% | 9% | (5%) |
| Lithium | (48) | (32) | 52 | 1 | 1 | (261%) | (207%) | 4224% | 4217% |
| Other & Intersegment | (42) | 218 | 362 | (139) | (156) | 66% | (955%) | (361%) | (332%) |
| **Total divisional earnings** | **5,567** | **7,143** | **7,830** | **7,207** | **7,927** | **10%** | **41%** | **9%** | **(1%)** |
| Other / Exploration / Net interest | (791) | (1,046) | (979) | (1,026) | (1,321) | (6%) | 24% | (5%) | (26%) |
| **Underlying earnings** | **4,776** | **6,096** | **6,851** | **6,182** | **6,606** | **12%** | **43%** | **11%** | **4%** |
| EPS (US$/sh) | 2.94 | 3.76 | 4.22 | 3.81 | 4.07 | 12% | 43% | 11% | 4% |
| **DPS (US$/sh) (ord + special)** | **1.48** | **2.54** | **2.11** | **1.90** | **2.03** | **(17%)** | **43%** | **11%** | **4%** |
| Ordinary (US$/sh) | 1.48 | 2.54 | 2.11 | 1.90 | 2.03 | (17%) | 43% | 11% | 4% |
| ***Cash flow US$bn*** | | | | | | | | | |
| Cash from operations | 8.9 | 12.2 | 11.0 | 10.8 | 12.9 | (10%) | 23% | 2% | (14%) |
| Net operating CF | 6.9 | 9.9 | 9.2 | 8.8 | 8.8 | (7%) | 32% | 4% | 4% |
| Investing CF | (11.2) | (8.1) | (5.5) | (5.7) | (5.6) | (33%) | (51%) | (4%) | (3%) |
| Financing CF | 4.7 | (1.9) | (3.7) | (4.2) | (3.9) | 89% | (177%) | (12%) | (6%) |
| **FCF** | **(4.3)** | **1.8** | **3.7** | **3.2** | **3.1** | **109%** | **(187%)** | **17%** | **18%** |
| **Net Debt** | **14.6** | **14.4** | **14.1** | **14.8** | **15.2** | **(2%)** | **(4%)** | **(5%)** | **(7%)** |
| Dividend payout % | 50% | 68% | 50% | 50% | 50% | (26%) | (1%) | (0%) | 0% |

Simandou included in other operations, Dampier Salt in Iron Ore as per company reporting

Source: Company data, Goldman Sachs Global Investment Research, Visible Alpha Consensus Data

**Exhibit 4: RIO 1H26 divisional results**

| US$mn | Revenue | | | EBITDA | | | Capex | | |
|---|---|---|---|---|---|---|---|---|---|
| | GSe | Actual | diff (%) | GSe | Actual | diff (%) | GSe | Actual | diff (%) |
| **Aluminium** | | | | | | | | | |
| Bauxite | 1,538 | 1,479 | (4%) | 482 | 464 | (4%) | 101 | 117 | 16% |
| Alumina | 1,453 | 1,528 | 5% | 6 | (2) | - | 99 | 100 | 1% |
| Intrasegment | 0 | 0 | - | 0 | 0 | - | 0 | 0 | - |
| **Bauxite & Alumina** | **2,991** | **3,007** | **1%** | **488** | **462** | **(5%)** | **199** | **217** | **9%** |
| Primary Metal | 5,017 | 4,956 | (1%) | 1,852 | 1,941 | 5% | 475 | 613 | 29% |
| Pacific Aluminium | 2,193 | 2,239 | 2% | 725 | 733 | 1% | 71 | 51 | (28%) |
| Other ops / intersegment | (1,104) | (1,063) | (4%) | (1) | 127 | (11113%) | 6 | 6 | 0% |
| **Integrated Operations** | **9,097** | **9,139** | **0%** | **3,063** | **3,263** | **7%** | **751** | **887** | **18%** |
| Other product group items | 272 | 262 | (4%) | 0 | 0 | 0% | 0 | 0 | 0% |
| Evaluation projects/other | 0 | 0 | - | (24) | (170) | 608% | 0 | 0 | 0% |
| **Total Aluminium** | **9,369** | **9,401** | **0%** | **3,039** | **3,093** | **2%** | **751** | **887** | **18%** |
| **Lithium** | | | | | | | | | |
| Rincon | 21 | 21 | 0% | 1 | 1 | 0% | 250 | 250 | 0% |
| Arcadium | 567 | 547 | (4%) | 201 | 217 | 8% | 268 | 377 | 41% |
| **Total Lithium** | **588** | **568** | **(3%)** | **196** | **218** | **11%** | **528** | **627** | **19%** |
| **Total Aluminium & Lithium** | **9,957** | **9,969** | **0%** | **3,236** | **3,311** | **2%** | **1,280** | **1,514** | **18%** |
| **Copper** | | | | | | | | | |
| Kennecott Utah Copper | 1,452 | 1,719 | 18% | 545 | 781 | 43% | 325 | 260 | (20%) |
| Escondida | 2,613 | 2,739 | 5% | 2,011 | 2,109 | 5% | 404 | 404 | 0% |
| Oyu Tolgoi | 3,939 | 4,090 | 4% | 3,105 | 3,189 | 3% | 207 | 494 | 138% |
| Evaluation projects/other | 0 | 74 | 0% | (274) | (366) | 34% | 120 | 2 | (98%) |
| **Total Copper** | **8,003** | **8,622** | **8%** | **5,388** | **5,713** | **6%** | **1,056** | **1,160** | **10%** |
| **Iron ore** | | | | | | | | | |
| Pilbara | 12,782 | 12,794 | 0% | 6,608 | 7,007 | 6% | 2,295 | 2,038 | (11%) |
| IOCC | 825 | 855 | 4% | 139 | 108 | (22%) | 146 | 92 | (37%) |
| Dampier Salt | 225 | 121 | (46%) | 75 | (6) | (108%) | 17 | 9 | (48%) |
| Evaluation projects/other | 282 | 257 | (9%) | 53 | (340) | (738%) | 0 | 0 | 0% |
| **Total Iron Ore** | **14,114** | **14,027** | **(1%)** | **6,876** | **6,769** | **(2%)** | **2,459** | **2,139** | **(13%)** |
| **Other operations** | | | | | | | | | |
| Simandou | 21 | 68 | 225% | (105) | (48) | (54%) | 1,000 | 592 | (41%) |
| RT Iron & Titanium | 850 | 714 | (16%) | 9 | 35 | 269% | 153 | 158 | 4% |
| RT Minerals | 426 | 433 | 2% | 117 | 145 | 24% | 41 | 23 | (43%) |
| Diamonds | 0 | 118 | 0% | 0 | (72) | 0% | 0 | (8) | 0% |
| Evaluation projects/other | 10 | 0 | (100%) | 0 | 0 | 0% | 0 | 0 | 0% |
| Other Ops, Intersegment | 18 | 340 | 1840% | 42 | (338) | (910%) | 0 | (165) | 0% |
| **Total Other Operations** | **1,324** | **1,673** | **26%** | **63** | **(278)** | **(538%)** | **1,193** | **600** | **(50%)** |
| | | | | | | | | | |
| **Product Group Total** | **33,399** | **34,291** | **3%** | **15,563** | **15,515** | **(0%)** | **5,988** | **5,413** | **(10%)** |
| Other items (incl. G&A) | | | | (550) | (579) | 5% | | | |
| Exploration & Expenditure | | | | (96) | (110) | 15% | | | |
| Net interest | | | | | | | | | |
| **Underlying EBITDA** | | | | **14,917** | **14,826** | **(1%)** | | | |
| Share of EAU sales | (3,194) | (3,263) | 2% | | | | | | |
| Excluded items / impairments / other | 0 | 0 | 0% | (349) | 71 | (120%) | | | |
| **Consolidated sales / EBITDA** | **30,206** | **31,028** | **3%** | **14,568** | **14,897** | **2%** | | | |

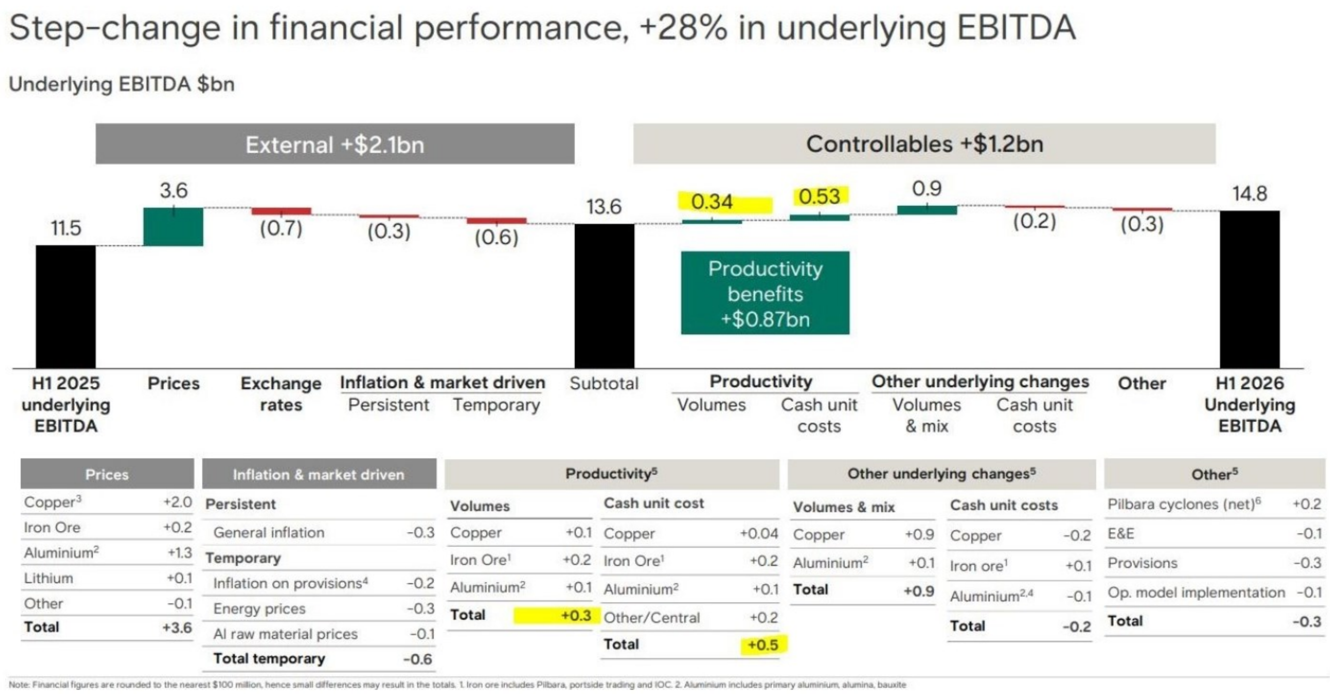
Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 5: 2026 Guidance; production and capex**

| Guidance | Units | 2024 | 2025 | 2026 | | | |
|---|---|---|---|---|---|---|---|
| Production | | Act | Act | GSe previous | GSe | Guidance | Consensus |
| Pilbara shipments (100%) | Mt | 329 | 326 | 330 | 330 | 323-338 | 330 |
| Pilbara production (100%) | Mt | 328 | 327 | 333 | 333 | | 332 |
| Simandou shipments (100%) | Mt | 0 | 0 | 6 | 6 | 5-10 | 6 |
| Bauxite | Mt | 59 | 62 | 60 | 60 | 58-61 | 59 |
| Alumina | kt | 7,303 | 7,592 | 7,964 | 7,964 | 7,600-8,000 | 7,876 |
| Aluminium (primary only) | kt | 3,297 | 3,376 | 3,368 | 3,368 | 3,250-3,450 | 3,372 |
| Mined Copper | kt | 697 | 883 | 864 | 864 | 800-870 | 848 |
| Refined Copper | kt | 248 | 190 | 171 | 171 | | 185 |
| Total Copper | kt | 945 | 1,073 | 1,035 | 1,035 | | 1,033 |
| Titanium dioxide slag | kt | 990 | 1,005 | 1,090 | 1,090 | | 1,001 |
| Fe pellets & conc (IOC) | Mt | 9.4 | 9.3 | 8.7 | 8.7 | 8.9-10.6 | |
| Lithium (LCE) | kt | | 58 | 65 | 65 | 61-64 | 53 |
| | | | | | | | |
| Pilbara Cash Costs (FOB) | US$/dmt | 23.0 | 23.5 | 25.6 | 24.3 | 23.5-25.0 | 25.4 |
| Copper Cash Costs (net credits) | USc/lb | 151 | 96 | 33 | 39 | 30-50 | 45 |
| Aluminium | USc/lb | 98 | 124 | 126 | 122 | | 140 |
| Alumina | US$/t | 385 | 385 | 358 | 378 | | 362 |
| Bauxite (FOB) | US$/t | 19 | 20 | 25 | 23 | | 35 |
| | | | | | | | |
| Total Capex | US$bn | 9.5 | 12.3 | 11.1 | 10.8 | ~11 | 11.3 |
| Sustaining | US$bn | | | 4.7 | 5.0 | ~4 | |

Source: Company data, Visible Alpha Consensus Data, Goldman Sachs Global Investment Research

**Exhibit 6: Of the US$0.87bn productivity benefits banked year-to-date, US$0.34bn is volumes and US$0.5bn is cash cost related**




Source: Company reports

## PT methodology and investment risks

- Our 12m PT is set at an equal 50:50 blend of NAV and EV/EBITDA with a 7.0x target multiple (unchanged).

- **Downside risks to our Buy call:**
  - **Iron ore and base metal price weakness:** weakness in demand could negatively impact the price for iron ore, copper and aluminium.
  - **Ongoing impacts from WA Heritage to permitting timelines and operations in the Pilbara:** delays to heritage approvals in WA could impact permitting timelines and operations in the Pilbara that may impact production output, product grade, costs and capex (note Pilbara represents ~50% of group NAV).
  - **Delays to further growth:** Oyu Tolgoi (underground ramp-up/ Mongolia tax dispute), Pilbara (replacement mines / Rhodes Ridge), Simandou (ramp-up), Lithium, Escondida & decarbonisation projects.
  - **Higher capex and opex due to industry cost inflation:** Cost inflation across both capital and operating expenditure is a persistent risk. RIO is spending ~US$10-11bn p.a. in capex, and elevated input costs would erode free cash flow and the attractive return to shareholders.

| RIO.AX | 12m Price Target: **A$181.90** | Price: **A$165.39** | Upside: **10.0%** |
|---|---|---|---|

**Buy**

Market cap: A$268.6bn / $187.1bn
Enterprise value: A$287.5bn / $200.3bn
3m ADTV: A$231.5mn / $163.5mn
Australia
ANZ Resources
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

**GS Forecast**

| | 12/25 | 12/26E | 12/27E | 12/28E |
|---|---|---|---|---|
| **Revenue ($ mn) New** | **57,642.5** | **60,979.0** | **59,654.9** | **63,704.5** |
| Revenue ($ mn) Old | 57,642.5 | 60,357.7 | 60,064.4 | 64,221.8 |
| EBITDA ($ mn) | 22,506.5 | 26,562.3 | 26,288.8 | 28,574.7 |
| **EPS ($) New** | **6.70** | **8.02** | **7.37** | **7.87** |
| EPS ($) Old | 6.70 | 7.34 | 6.90 | 7.61 |
| FCF yield (%) | (2.0) | 4.5 | 4.8 | 5.9 |
| Dividend yield (%) | 5.2 | 4.1 | 3.9 | 4.1 |
| EV/EBITDA (X) | 5.5 | 6.9 | 7.1 | 6.4 |
| ROCE (%) | 16.6 | 15.6 | 13.5 | 13.5 |

| | 6/26 | 12/26E | 6/27E | 12/27E |
|---|---|---|---|---|
| EPS ($) | 4.22 | 3.79 | 3.50 | 3.86 |

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 29 Jul 2026 close.

# Disclosure Appendix

## Reg AC

We, Paul Young and Chris Bulgin, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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**Contributing Authors:** Paul Young Goldman Sachs Australia Pty Ltd, Chris Bulgin Goldman Sachs Australia Pty Ltd.

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**Growth** is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

## Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

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**The rating(s) for Rio Tinto Ltd. is/are relative to the other companies in its/their coverage universe:** BHP Group Ltd., BlueScope Steel, Champion Iron Ltd., Deterra Royalties Ltd., Fortescue Metals Group, Iluka Resources, Lynas Rare Earths Ltd., Mineral Resources, New Hope Corp., Rio Tinto Ltd., Sandfire Resources, Sims Ltd., WA1 Resources, Whitehaven Coal Ltd.

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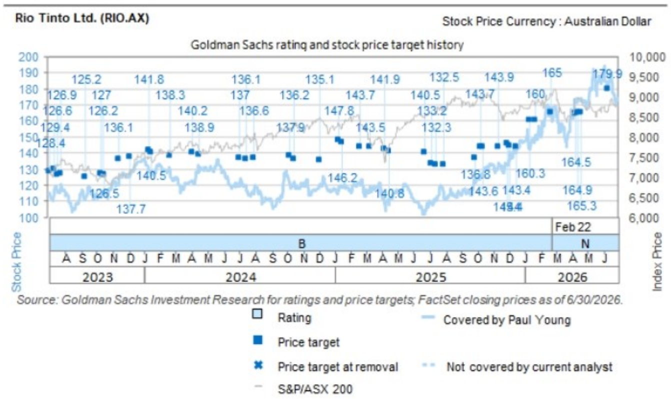
## Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

| | Rating Distribution | | | Investment Banking Relationships | | |
|---|---|---|---|---|---|---|
| | Buy | Hold | Sell | Buy | Hold | Sell |
| Global | 50% | 34% | 16% | 65% | 59% | 43% |

As of July 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,104 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

## Price target and rating history chart(s)




The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

## Target price history table(s)

### Rio Tinto Ltd. (RIO.AX)

| Date of report | Target price (A$) | Closing price (A$) |
|---|---|---|
| 15-Jul-26 | 178.90 | 165.47 |
| 08-Jul-26 | 178.40 | 163.85 |
| 10-Jun-26 | 179.90 | 179.44 |
| 21-Apr-26 | 165.30 | 173.86 |
| 13-Apr-26 | 164.90 | 172.07 |
| 09-Apr-26 | 164.50 | 171.76 |
| 22-Feb-26 | 165.00 | 163.30 |
| 21-Jan-26 | 160.00 | 150.10 |
| 12-Jan-26 | 160.30 | 142.43 |
| 17-Dec-25 | 143.40 | 141.40 |
| 04-Dec-25 | 144.00 | 140.58 |
| 30-Nov-25 | 145.40 | 132.28 |
| 12-Nov-25 | 143.90 | 132.47 |
| 14-Oct-25 | 143.60 | 127.43 |
| 08-Oct-25 | 143.70 | 125.29 |
| 29-Sep-25 | 136.80 | 121.25 |
| 30-Jul-25 | 132.50 | 115.81 |
| 16-Jul-25 | 132.30 | 110.52 |
| 07-Jul-25 | 133.20 | 108.62 |
| 25-Jun-25 | 140.50 | 104.30 |
| 16-Apr-25 | 140.80 | 108.37 |
| 08-Apr-25 | 141.90 | 109.48 |
| 12-Mar-25 | 143.50 | 117.23 |
| 20-Feb-25 | 143.70 | 120.09 |
| 16-Jan-25 | 146.20 | 119.61 |
| 09-Jan-25 | 147.80 | 116.45 |
| 04-Dec-24 | 135.10 | 120.08 |
| 16-Oct-24 | 136.20 | 120.78 |
| 08-Oct-24 | 137.90 | 120.99 |
| 31-Jul-24 | 136.60 | 117.48 |
| 16-Jul-24 | 136.10 | 116.81 |
| 02-Jul-24 | 137.00 | 119.63 |
| 17-Apr-24 | 138.90 | 128.72 |
| 03-Apr-24 | 140.20 | 123.06 |
| 21-Feb-24 | 138.30 | 125.80 |
| 16-Jan-24 | 140.50 | 126.66 |
| 10-Jan-24 | 141.80 | 128.90 |
| 06-Dec-23 | 137.70 | 126.45 |
| 14-Nov-23 | 136.10 | 122.49 |

| Date of report | Target price (A$) | Closing price (A$) |
|---|---|---|
| 17-Oct-23 | 126.50 | 117.11 |
| 15-Oct-23 | 126.20 | 114.74 |
| 10-Oct-23 | 127.00 | 112.20 |
| 11-Sep-23 | 125.20 | 112.40 |

Price targets shown in table(s) are unadjusted for corporate actions.

## Regulatory disclosures

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